2. **Veblen or Demonstration effect:** Veblen has explained the exceptional demand curve through his doctrine of conspicuous consumption. Rich people buy certain goods because it gives social distinction or prestige. For example, diamonds.

3. **Ignorance**: Sometimes, the quality of the commodity is judged by it's price. Consumers think that the product is superior if the price is high. As such they buy more at a higher price.

4. **Speculative effect:** If the price of the commodity is increasing then the consumers will buy more of it because of the expectation that it will increase still further. Eg stock markets.

5. **Fear of shortage:** During times of emergency or war, people may expect shortage of a commodity and so buy more.

2.8.7 Extension and Contraction of Demand

The changes in the quantity demanded for a commodity due to the change in its price alone are called "Extension and Contraction of Demand". In other words, buying more at a lower price and less at a higher price is known as "Extension and Contraction of Demand".

2.8.8 Movement along Demand Curve

In the diagram 2.7, at point A, the price OP_2 and quantity demanded is OQ_2. When price falls to OP_3 (movement along the demand curve A to C) the quantity demanded increases to OQ_3. If price rises

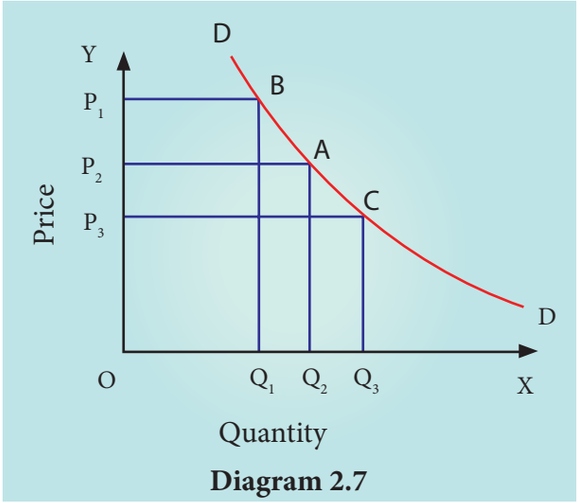


Diagram 2.7

to OP_1 (movement from A to B) quantity demanded decreases to OQ_1.

2.8.9 Shift in the Demand Curve

A shift in the demand curve occurs with a change in the value of a variable other than its price in the general demand function. An increase or decrease in demand due to changes in conditions of demand is shown by way of shifts in the demand curve.

On the left hand side of the diagram 2.8, the original demand curve is dd, the price is OP_1 and the quantity demanded is OQ_1. Due to change in the conditions of demand (change in income, taste or change in prices of substitutes and /or complements) the quantity demanded decreases from OQ_1 to OQ_2. This is shown in the demand curve to the left. The new demand curve is d_1d_1. This is called decrease in demand.

On the right hand side of the diagram 2.8, the original price is OP_1 and the quantity demanded is OQ_1 . Due to changes in other conditions, the quantity purchased has increased to OQ_2 . Thus the demand curve shifts to the right d_1d_1. This is called increase in demand.

Chapter-02.indd 36 20-02-2020 11:46:24